

investment strategy, which, at one stage, had led him to be described as the “bag-lady of business” for his attraction to stocks that were “down-at-heel and dispossessed.”³⁰ It was an unfair portrayal. Sounding remarkably like Warren Buffett, Brierley told his biographer in 1990 that he “preferred what he calls ‘bricks and mortar’ companies, with easily identifiable assets, producing a relatively simple product,” and “deliberately steered away from companies involved in technology because he does not understand them.”³¹ There were two significant differences, however. Where Buffett sought wonderful companies, Brierley sought only deeply undervalued companies in which he could reveal their “true value for all the world to see.”³² As he explained in 1990:³³

If you own the value, the unlocking is secondary. Once you own something, if the value is there, you might have to rack your brains to find a solution, but it is better than finding there is no value to unlock.

Where Buffett wanted high-quality, autonomous managers, Brierley viewed Brierley Investments as a “monitoring organization that continually evaluated the performance of various companies and acted as a catalyst to promote the most effective ownership of a company.”³⁴ His biographer, Yvonne van Dongen noted that his “achievement as a spur to management was not just limited to the firms he took over, but extended to all the firms threatened by his presence. There were many companies . . . who set in motion a plan of action that Brierley himself had intended to instigate.”³⁵

His 1987 bid for the 143-year old British life insurance company Equity and Law Life Assurance Society PLC was Brierley’s defining bid. Equity and Law presented an unwieldy target, with formidable protection, and a *recherché* value. The company was protected by a variety of regulations peculiar to the insurance industry a board heaving with knights, lords, and other blue-bloods; and cross-shareholdings from other insurers, with the risk that a threat to one would likely be perceived as a threat to all. The value proposition too was abstruse. Equity and Law had a market capitalization of £350 million, but earned £8 million on just £2.8 million in equity. What it did have was substantial float from the life insurance policyholders’ funds. Other Brierley Investments executives were uneasy about the bid. One asked, “How do you make a profit out of it,” to which Brierley replied enigmatically, “If you can’t see that by now, perhaps you shouldn’t be in this business.”³⁶ Brierley had judged the intrinsic value to be found in significantly improving the performance of Equity and Law’s considerable, and underexploited float, on which Equity and Law had been generating only a meager return. He also saw that there was a good chance that a bid